

“Policy must encourage many flowers to bloom”

Uday Kotak, Founder and Director of Kotak Mahindra Bank, talks about the Indian economy, spurring private investments, and how humans can beat machines

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Known as an institution builder, Uday Kotak is one of the most respected names in India's banking space. The Founder and Director of Kotak Mahindra Bank recently transitioned to a non-executive role after leading the bank for about two decades. In an exclusive conversation with *Rahul Kanwal*, News Director of India Today and Aaj Tak, and Executive Director of *Business Today*, at the India Today Conclave in Mumbai, Kotak—who had been appointed Chairman of beleaguered infra lender IL&FS after the government took it over—talks about the economy, the banking space in India, artificial intelligence, succession, and his plans after hanging up his boots. Edited excerpts:

Q: Could you give us a temperature reading of the current growth prospects and the state of the Indian economy?

A: I think in the last three years, India has come out remarkably better than what I would have thought at the beginning of Covid-19... Simultaneously, if you look at the Russia-Ukraine situation, India has positioned itself beautifully from a geopolitical point of view... [it is] getting [lower-cost] energy for India, [and] at the same time standing up to say, 'India will think for its own interests versus anything else'. These two are the most outstanding developments from an economic point of view in a fast-changing geopolitical landscape... *I do believe from a temperature check point of view, India is in a good place. However, the world is not in such a good place.* And the reason I say this is because the US has lived off the world's money for a long time because most of the countries around the world keep their surpluses with the US... At the same time, US deficits are very high... from zero interest rates, [they] have moved up by more than 500 basis points and don't seem to be stopping. If the world's reserve currency pays 5.5 per cent on its money overnight, then the rest of the world has to adjust on the interest rates.

The second is China. I frankly cannot figure out what is happening inside China... the Chinese economy is not in the shape it should be in for getting the world out of trouble. And then, of course, you have Russia [and] the other issues... the world, both economically and geopolitically, is not in a good place. India is in a good place, but we are in an interdependent world.

Q: India's banking system is more robust than it has ever been. Private investment, though,